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Enron Corp.
Case No. EC-2002-01038
Doc No. E19ADEBA8
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
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From: dsgeorge@firstworld.net <dsgeorge@firstworld.net>
Sent: Thu, 3 Aug 2000 20:46:00 -0700 (PDT)
To: Dick George <dsgeorge@firstworld.net>
Subject: WSP: Market Ripe for Manipulation...

Cc list suppressed...
Public opinion is the pendulum that swings law...dsg

August 4, 2000

Deregulation Leaves Electricity Market Ripe for Manipulation by Power Firms

By REBECCA SMITH and JOHN J. FIALKA
Staff Reporters of THE WALL STREET JOURNAL

It's a market ripe for manipulation: surging demand for an indispensable commodity, weak oversight and a chaotic new set of rules amid a transition from heavy regulation to open competition. This is the state of the U.S. electricity business in the summer of 2000. And sure enough, there's growing evidence that some power companies are finding lucrative ways to exploit the system -- at consumers' expense.

The tactics include manipulating wholesale electricity auctions, taking juice from transmission systems when suppliers aren't supposed to and denying weaker competitors access to transmission lines. None of this is illegal, and much of it might be considered basic competition. But as an electricity shortage plunges sweltering California into an energy crisis and fears of even worse shortages rattle the Northeast, the practices of power suppliers face more scrutiny than ever. (See related article.)

Steamy Conditions

A hot summer day last year shows one kind of manipulation. On July 28, 1999, wholesale electricity prices in the Middle Atlantic states hit $935 per megawatt hour. That was seven times what it costs to generate power at the most expensive plant in the region. An analysis of trading data from that day shows that PECO Energy Corp. and PPL Corp., the old

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Philadelphia Electric Co. and Pennsylvania Power & Light, made the most of steamy conditions.

In the region's power market, deregulated in 1997, a new corporation called PJM Interconnection LLC runs the transmission system once operated piecemeal by eight utilities. It also operates a daily electricity auction that sorts the hourly bids of 540 generating plants. The cheapest plants are called on first, but when the weather is hot and demand is acute, higher offers are taken as well. To attract as many bidders as possible, the highest bid, each hour, sets the price for the entire market for that hour.

Grid and Bear It

Rise in average wholesale electricity prices at key transmission-interconnection points for the month of May from 1997 to 2000.

TRANSMISSION-INTERCONNECTION POINT	% CHANGE 1997-2000
Texas	+293%
Louisiana-Mississippi-Arkansas	+216
Tennessee Valley Authority	+165
California-Oregon border	+162
New York-West	+138
Chicago area	+130
New England	+117
New York-East	+101
Upper Midwest	+99
Florida	+89
Mid-Atlantic region	+80*

*Includes only years 1999-2000

Source: Federal Energy Regulatory Commission, RDI Power

What PECO and PPL did was offer much of their output at low prices so that the majority of their plants would be called into service. But knowing demand was so high, they offered power from their tiniest plants at vastly higher bids, in a way that often set the peak price for a number of hours. Consumers that day ended up paying millions of extra dollars for power.

Cases like this show that during the transition to

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deregulation, "there's a good argument the system has broken down," says William Massey, a commissioner at the Federal Energy Regulatory Agency. FERC, which polices the nation's bulk power markets, began the deregulation movement in 1996.

It wasn't supposed to be this way. In the old days, utilities generated electricity and delivered it to customers in exclusive territories. To protect consumers from gouging, rates were regulated. But while supply had to be able to meet peak demand at all times, demand varied widely within regions, between regions and from one season to another. The result was tremendous reliability but also inefficiency and waste.

Deregulation, now under way in half the country and functioning nationally at the wholesale level, allows new players -- some affiliated with utilities, some not -- to build power plants and sell electricity. Prices are supposed to be set by competitive markets. Risks are borne by investors, not ratepayers.

At the same time, utilities are surrendering control of long-haul transmission lines to new nonprofit operators, like the one in the Middle Atlantic region, which are supposed to ensure fair access to the grid -- the multistate system of high voltage lines.

Under this new regime, energy prices should have dropped as companies raced to compete with one another. But the massive U.S. energy infrastructure wasn't designed to serve as the backbone of a free market. On hot summer days, when there's little or no surplus electricity in the nation's most populous regions, generators can charge prices far in excess of their production costs and be confident they'll get tapped for service by grid operators who must keep the lights on at any cost. Utility holding companies that still control transmission lines have an added advantage: They can effectively lock out cheaper competitors.
California Cuts Price Cap for Electricity Once Again (Aug. 2)Price Cap Is Set for Electricity That Is Sold in New England (July 27)PPL, KeySpan Say Earnings Surpassed Wall Street Targets (July 27)Energy Trading, Internet Operations Help Enron's Net Income Jump 30%

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(July 25)PG&E Posts 36% Rise in Net to $248 Million
(July 21)
The new regional grid operators, called independent system operators, or ISOs, eventually will be in charge of preventing manipulation. But as nongovernmental organizations, they won't have basic investigative tools, like subpoena powers or the ability to impose significant penalties. FERC, which does have those powers, rarely uses them, preferring to let the market discipline itself.

A Strange Drop

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